

These factors influence how we make decisions, often leading us to rely on heuristics (mental shortcuts) rather than exhaustive analysis. As a result, decision-making in complex and uncertain situations becomes more practical and efficient, though not necessarily optimal.

This approach involves the following:

Simplified Problem Definition

Breaking down complex problems into smaller, manageable parts makes decision-making more effective. Rather than addressing the entire issue at once, this approach focuses on the most relevant or critical aspects, streamlining the process.



Limited Information Search



Rely on Heuristics or Rule of Thumb due to:
Limited Time and Resources

Decision-making often involves gathering only a subset of available information due to time and resource constraints.

Instead of seeking exhaustive data, decision-makers rely on heuristics or rules of thumb to identify the most relevant information while filtering out less essential details.

Satisficing Instead of Maximising

Satisficing involves choosing a solution that is "good enough" rather than striving for the absolute best. Instead of aiming for perfection, decision-makers focus on meeting minimum criteria or achieving acceptable results within available constraints such as time, resources, and information.

The term was coined by Herbert A. Simon, who argued that humans often settle for satisfactory solutions due to limited time, information, and cognitive capacity.

